

Changes in the cost of production:

With the increase in output, if the cost of production increases and the profitability falls, producers would not increase supply, thus making supply less elastic.

Availability of resources:

One of the most important factors to increase supply is the availability of adequate resources.



If **land, labour, capital, and technology** are adequately available, with ease, the supply will be elastic.

Price elasticity of demand and supply together determine the changes in demand and supply in response to the price of the product, thus determining the pricing power of the product. However, there are other factors that also contribute to determine the pricing power in any industry.

Other Factors That Determine Pricing Power

Product differentiation

If a player in an industry can provide differentiated products and services that are needed by a particular customer segment, the firm will enjoy pricing power as there is no close substitute available.



For instance, a pharmaceutical company developing a drug after years of research and development will have immense pricing power.